

LONG: Nextracker Inc. (\$NXT) – Kush Malpani (Portfolio Manager, IAG)

Solar Tracker market leader with asset-light high ROIC model maximizing tailwinds in rapid growth utility solar space

Key Ratio and Statistics

Recommendation	Buy	EV/LTM EBIT	13.3x
Market Capitalization	\$10.8bn	EV/NTM EBIT (Cons.)	12.5x
52-Week Low	\$30.93	EV/LTM UFCF	14.3x
52-Week High	\$76.81	Target Price (Base Case)	\$114.45
Share Price	\$72.20	Date	9/26/2025

Executive Summary:

“It’s far better to buy a wonderful company at a fair price than a fair company at a wonderful price. Munger shoved me in the direction of not just buying bargains – a great business at a fair price is superior to a fair business at a great price.”

~ Warren Buffet

Nextracker (NASDAQ:NXT) is a producer of solar tracker technology, which changes the orientation of solar panels to face and track the Sun throughout the day; these improve panel production by 25-30%, while costing <10% of project capex. NXT caters entirely to the utility solar industry, which has grown at a 45% CAGR in North America and triple-digit CAGR in international markets since 2018. It has use cases in mega-solar plants that power data centers, feed the electricity grid directly, and serve as alternative energy sources for many industries. NXT holds 60% share in North America, and ~30% share globally, and is by far the number 1 player in the market.

Nextracker has performed brilliantly financially over the last 3 years it’s been public, with revenues compounding at 30% annually, and EBIT margins growing 2,000bps to 23% for FY24. All along, their revenue backlog has been growing, expanding to >\$4bn as of Q2 FY25, with a book-to-bill ratio >1 for the past 8 quarters, and zero-debt balance sheet. Utility solar itself has been hit by a flurry of tailwinds and headwinds, with increased mission-critical electricity demand from data centers serving as boosts, but 45X tax credit repealments and clarifications as well as potential tariffs on Chinese PV panels depressing investor sentiment. More recently, NXT has traded up to all-time high’s due to significant front-loaded tracker demand from developers looking to safe harbor prior to the US govt.’s deadline of December 2027.

We believe investors view Nextracker as a purely opportunistic play, with a demand story that ends with the Trump government’s safe harbor deadline of 2027. We view Nextracker to be a long-term compounder that is positioning itself to becoming a turnkey provider of utility solar products via strategic M&A opportunities and a strong focus on international markets.

1. Investors have fundamentally misunderstood and overblown the meaning of ‘**commoditization**’ in this industry, overlooking the **structural superiority of Nextracker’s asset-light business model and superior, reliable, and easy-to-install product.**
2. Further, markets are perceiving the **Trump presidency** as a negative for Nextracker despite the **inherent demand surge for trackers if panel tariffs are implemented.**
3. Most importantly, investors and Street have placed absolutely no emphasis and research on **Nextracker’s international growth** runway, especially in India; we will make use of alternative data sources and conversations with customers and Nextracker management to explain how **international markets are a much stronger revenue growth runway and supply base** than investors anticipate.

We believe that in a base case, Nextracker trades at 9.4x its FY26E UFCF, implying a free cash flow yield of 10.6% with conservative growth assumptions and the negative impact of 45x tax credits baked in. Not accounting for any future M&A synergies, we believe we have a margin of safety of ~58% in a base case. We have conducted interviews and conversations with Nextracker’s management team, customers, and experts on the power industry, and utilized alternative data from a pre-IPO Indian supplier to reach an intrinsic value of \$114.5 with conservative baseline growth assumptions.

Company Overview:

Nextracker offers tracking solutions with 3 key trackers – the NX Horizon, NX Gemini, and the NX Horizon-XTR. It also provides software solutions for optimizing the performance of these trackers, under the names TrueCapture, and NX Navigator, which boost plant performance by an incremental 2-3% and mitigate extreme weather risk and reduce maintenance costs.

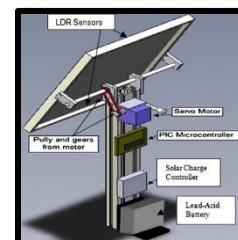
The company was founded in 2013, and acquired by Flex Ltd. in 2015, under which the company led the solar tracker industry globally in terms of number of gigawatts shipped, from 2015 to 2022. NXT was spun off and IPO'd in February 2023, with the spin-off to Flex shareholders completed in Jan 2024. The company shipped 18GW in '23, 15GW in '22, and 12GW in '21. As of December '23, NXT has shipped a total of 90GW of solar tracker systems, leading the industry with a ~32% global market share, and >50% share within North America.

What are solar trackers?

Solar tracker positions a PV (photovoltaic) panel at an optimal angle relative to the Sun. It uses a DC motor to shift the position according to the Sun's position, very high accuracy. It is estimated to increase solar power by 25-30% per panel. The average cost per tracker is <10% of overall utility solar capex; making trackers fundamental in all new installations.

Types of tracking systems:

- **Single axis tracker** – utility-scale projects, tracking on horizontal/vertical axis. Tracker follows Sun's position from east to west, increases production by 25-35%
- **Dual axis tracker** – not just east west, but north south too. Common for residential and small commercial projects, w/ limited space and enough power for energy needs
- **Passive trackers** – uses liquid w/ low boiling point, which on evaporation due to sun causes tilt to become imbalanced, thus always tilting towards sun rays. Require very few moving parts



Single axis trackers are the most preferred, especially by utility solar. They shift only east-west, but that's typically all that's needed for large utility-scale plants, which are usually designed in optimal north-south orientation. Since they're single-axis, they obviously take lower electricity, and lower maintenance. They also have reduced chances of breakage, thus lower overall maintenance, and are half the cost of dual-axis trackers, while providing just ~5% lesser efficiency in production.

Industry Landscape:

The solar tracker industry is largely consolidated, with the top 3 players globally holding ~90% of market share. These are Nextracker, Array Technologies, and PV Hardware (PVH). Nextracker holds 60% share in the US, and around 33% globally, while Array holds 25% in the US, and less than 20% globally. PV Hardware is largely focused on Europe, and holds the most market share in the region, but more or less 20% of the global market. Recently, Array acquired STI Norland, a Europe-based solar tracker company mainly operating in Spain and Brazil. The company held 9% market share globally as of 2021, but that has reduced as of '24 as PVH has increased their dominance in Spain.

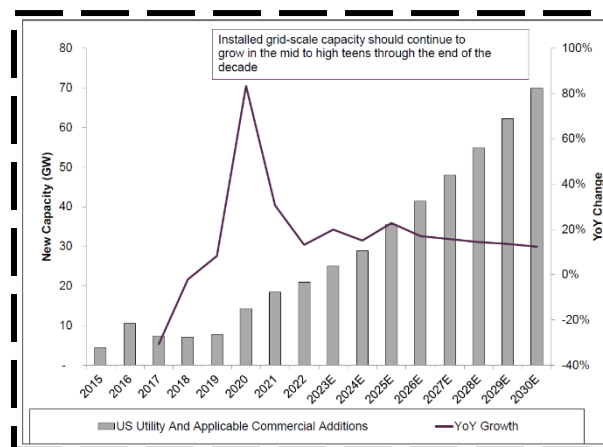
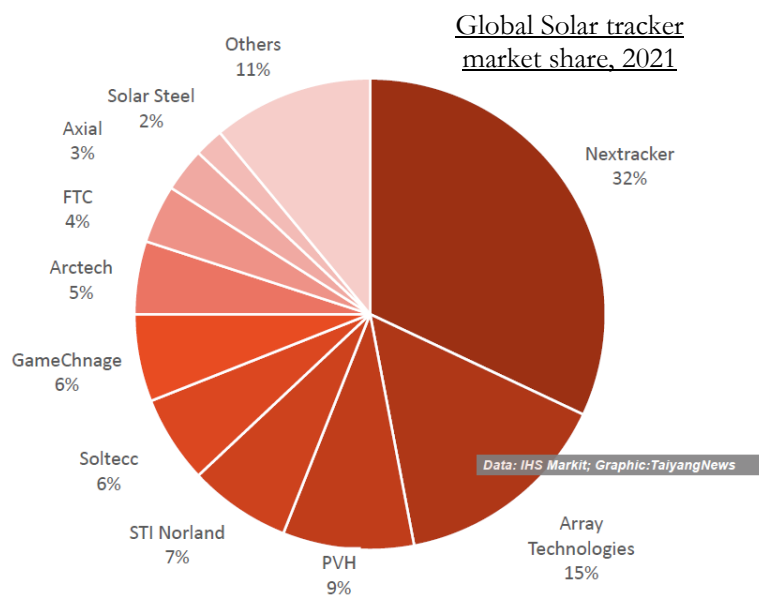
Within the US, Nextracker has rapidly increased market share from ~30% in 2021 to >50% in '24. Array has lost market share due to poor customer service, while revenues and profitability has fallen as well. Nextracker, on the other hand, has compounded revenues at a ~30% CAGR over the last 4 years. It has also expanded into international markets including India, the Middle-East, and Australia, while Array increases its focus on Europe and South America.

Competitors besides NXT and Array are largely irrelevant due to either their small size, lack of supplier network, or poor customer service or technology. For example Soltec has an extremely bad customer service reputation, and GameChange's unreliable supply chain has repeatedly caused problems for EPCs and developers who place orders with them. FTC an Arctech cater to smaller plants with inferior-tech, lower-priced solutions. Internationally, PV Hardware excels due to a sort of regulatory moat in European markets, where firms need to pass an extensive procedure of regulations to be approved as a solar component seller or producer. This enables them to dominate in the region. They have made efforts to expand to the US but these have largely failed due to a weak North American supply chain for PVH, wherein not all components are ready together, with constant delays.

This was evidenced by a Texus call, where the client stated "One of the tricky things about tracker is if they don't have a robust supply chain, you're screwed because you need all of the components of the tracker to show up to put it together. So, a lot of tracker companies will be like, "Yes, we can deliver 90% of it by this day, but the torque tube is going to come later." When you install the torque tube, it's like the second thing you install. So having all this material doesn't really do us any good."

There are various industry-wide tailwinds to the solar market as well. Direct subsidies to solar EPCs and developers have definitely increased under the Biden admin, and under the provisions of the Inflation Reduction Act, 2022, there have been increased tax credits called '45X' specifically for solar plants with >50% American-manufactured components. These credits have positively impacted gross and operating margins for all competitors, although some significantly more impacted than others. While most of Array's customers and margins are reliant on 45X credits, NXT's customers hardly rely on them, and NXT itself structurally has significantly higher (26%) gross margins vs Array's 12% due to the asset-light business model that no other competitor in the industry has been able to operate.

More recently, tracker order books have been accelerating significantly as demand for alternative energy sources increases due to tailwinds like data centers and ESG frameworks. The market has understood this as EPCs and developers rushing to avail tax credits under the Biden admin before a potential change in admin if Trump gets elected in November, which could potentially lead to a repeal of many of the IRA's solar tax credits and arguably increased tariffs on China, which houses major exporters for PV panels and solar balance-of-system components. However, as we will explain later, we believe the solar tracker industry, and NXT specifically, is largely protected due to the unique business model and the trade-off between a tracker and panel.



US Grid-Scale Solar Additions

There's no question – solar is the future.

Solar is faster to build and cheaper than conventional energy sources and provides insulation from the volatility of fuel prices. Utility-scale solar costs anywhere from \$24 to \$96 per megawatt hour without subsidies, about 56% cheaper than nuclear and gas peaking and 42% less expensive than coal at the top end of the cost estimate range.

The US Energy Commission projects a CAGR of 30% in utility-scale solar through 2028. Even a conservative estimate would still be at least high-teens to 20%, given the growing importance of sustainable energy to data centers, which must fulfill certain ESG metrics. This also reduces dependence on volatile fuel prices, and decreases their cost of electricity.

Overall, the most important metrics in power are reliability and pricing. Solar sweeps the floor against conventional and renewable sources on pricing, and is increasingly improving reliability as well, with the widespread implementation of batteries. Thus, we believe the utility solar industry enjoys significant tailwinds, and NXT is the biggest beneficiary.

Investment Theses:

1. **Investors believe the tracker industry is commoditized. However, NXT's superior technology and go-to-market strategy positions it to continue assimilating market share & make the most of industry tailwinds:**

The market believes tracker technology is commoditized. The reason behind this is the fact that Array continues to hold 20% global market share, while NXT holds 30%, indicating that both yield similar results. However, we believe that Nextracker's product is fundamentally superior in quality, pricing, and ease of installation and use. We believe market just hasn't realized this and we haven't yet seen a major share loss for Array due to historic supply constraints for NXT, which are vanishing due to its asset-light, highly scalable business model.

The reality of commoditization is – sure, the industry is somewhat commoditized in a returns sense; NXT and Array's trackers have somewhat similar performance boosts, with NXT (25-30%), and Array (20-25%). However, markets misunderstand this commoditization – if 2 products are giving the same performance boost, there's other, more important considerations that companies compete on. These are quality, pricing, and ease-of-installation.

We spoke to Sterling Wilson Solar, an Indian utility solar project developer and a major Nextracker customer. For developers and EPCs, the 3 most important considerations when choosing between trackers are quality, pricing, and ease of installation & use. With these considerations in mind, we'll explain why NXT has the best product and proposition.

Quality:

In terms of the actual technology, the fundamental difference between NXT and Array's trackers is the structure. While NXT assigns a motor specific to each tracker in each panel in a row of panels, Array assigns one motor that controls all the trackers in a row of panels. This has its advantages and disadvantages, theoretically:

- NXT's structure allows the row to remain alive if any single motor fails, so reduces risk of grid failure, but at the same time could theoretically increase maintenance costs as individual motors fail and must be replaced
- Array's structure reduces overall frequency of maintenance, but also makes the grid over-dependent on single motors, whose failure would be catastrophic for the whole grid.

In practice, here is what happens:

- NXT's trackers have much higher quality assurance and reliability, with stepper motors that typically last 10 years or more, and have a frequency of repair of ~8 years
- Array's trackers are not reliable, the motor has historically been prone to failure, which means increased maintenance costs and reduced uptime, which causes greater losses for firms

Further, multi-row architecture is proving to be much superior, as evidenced by EPC customer opinions as well. A Tegus client stated “Array has got that central driveline and there's no batteries. Nextracker is powered by batteries. And really like that's the biggest differentiating point.”

To confirm most of these assumptions regarding NXT's superior quality, we asked one of their top EPC customers in India for their views on why they chose to partner with NXT. According to them, they've never faced challenges with NXT on-site; even if they do, customer service is levels better than Array's – NXT's relationship managers will constantly remain in-touch for challenges and reach out to inquire about new orders, while Array will simply expect customers to come to them and place orders.

The real key differentiator for NXT is that they just do what they do really well. They don't skimp on parts; they don't do half-effort work; they actively satisfy all of a client's requirements. The secret to quality and reliability is simply to deliver and install products built to last for much longer than Array and other competitors can offer.

More specifically, NXT's trackers require specific tools for installation – they use riveting guns and stamping parts that can't be loosened or unscrewed. This increases durability significantly, especially during times high-speed winds and storms. Array, on the other hand, uses typical fasteners and bolts that can easily be damaged during adverse weather events.

And why is **durability** so important? The reason behind this is that 99% of tracker installations are in greenfield projects, new projects that are being installed now and in the future. A project that installs NXT trackers during development will never switch them for Array or vice-versa simply due to the high switching cost – unless the existing tracker becomes so unreliable, high-maintenance, and worn-out, that the client has to switch it out. Here is where durability and tracker life becomes really important – especially when all future tracker revenues are coming from greenfield developments.

Further, NXT constantly upgrades its product with technological advancements and most importantly – offers software that's significantly superior for performance and reliability/safety compared to comps.

NXT Software Products:

TrueCapture and NX Navigator are NXT's software products that not only increase production by an incremental 200-250bps, but also protect trackers during hailstorms or other natural disasters.

This has been field-tested, with a recent installation in Saudi Arabia that faced a huge desert storm. 1GW out of 5GW of installations had NXT trackers, and unsurprisingly, it was the only part of the installation that wasn't completely wrecked. Similar instances have happened in the US as well, with rainstorms and hailstorms.

Exhibit 6: Of 20 respondents, the overall view of NXT was positive with virtually no complaints.

#	Role	What is your overall view of Nextracker?
1	Developer	Only in challenging terrain
2	Developer	Still positive, I have heard issues with commissioning support.
3	EPC	Preferred tracker if they can get deliveries back on schedule - significant delays last year and persisting into 2024
4	Asset Owner	Positive - good supplier
5	Developer	We recognize them as a leading brand manufacturer. [following statement needs partial/full redaction] They do not market their products to developers in New England, purportedly due to snow loading, and you need to be an active customer at scale to get their products. [end background]. We have no problem with this limitation, and are happy to shop trackers competitively through EPC
6	Developer	Have not used previously due to lack of DQ sales team, may consider now that they are aligned with Russel Pacific
7	EPC	Positive. They are collaborative and have a quality product.
8	EPC	Good company and product but tend to want to renegotiate terms every deal.
9	Developer	Highly regarded between customer service, flexibility, ease of doing business, track record, relationship, etc.
10	Developer	Fair, a market leader.
11	Developer	positive from external pov. yet to use
12	EPC	Positive. Don't love the huck & bomb tooling that is required. Seems like many large developers / IPPs are entering into MSAs and providing EPCs that pricing for their projects.
13	Asset Owner	No strong view.
14	Developer	More flexible tracking solution and more innovative with trying to make advances in optimization
15	Developer	Great company, I've worked with them for years. Every EPC is familiar with their design and installation is one of the lowest, if not the lowest.
16	EPC	Good product, we have had few issues
17	Asset Owner	Positive.
18	Asset Owner	Positive but without a meaningful technological advantage.
19	Asset Owner	Tier 1
20	Developer	Good, service slightly declining

NXT Client Perception

And why does all of this matter? Because for a product that's <10% of your cost, but generates 25-30% of incremental energy, quality and reliability (uptime) are the most important factors. The utility solar landscape itself is changing – new solar plants are either for major infrastructure like data centers or feed directly into the power grid, which means that any down time is extremely costly and potentially destructive for users. Nextracker's decentralized architecture is especially relevant here, as it minimizes downtime to negligible levels, which is an extremely attractive proposition for a client like a data center, who needs extremely reliable power.

Thus, qualitatively, we have established that NXT has the best quality and most reliable product, which is the single-most important differentiating factor for developers and EPC clients.

Next up, pricing:

Given the massive scale of utility solar, tracker pricing is decided on a ‘price per watt peak’ basis, that gives a specific price per watt of energy generated by a photovoltaic (PV) panel. This pricing depends on a wide variety of factors, including wind speed, on-site corrosion, soil condition, and plant layout, which accordingly decide the quality of steel used, ‘cut-and-fill quantity’, and mix of external and internal trackers that have different pricing.

Despite its superior quality, higher-reliability product, NXT offers extremely competitive pricing. While it doesn’t officially reveal specific pricing, the EPC we spoke to explained that the NXT Horizon and XTR are generally priced at \$0.06 to \$0.10 per watt peak, and on average \$0.085 per watt peak. NXT also bundles the Horizon and XTR in such a manner that the EPC ends up paying only a 4-5% premium for XTR despite the improved performance. This is more so for international markets that also have lower costs of production, while pricing is 15-18% higher for US markets.

Array’s pricing, in comparison, is \$0.005 to \$0.010 higher than NXT, while having a significantly weaker product. GameChange and PVH are also priced similarly, while having inferior products. These collectively indicate significant pricing power for NXT once it switches strategy from acquiring market share to expanding margins.

Some quick math shows that for a typically 540-640 watt peak panel (avg 600W), the cost of a tracker is \$48, considering an average price of \$0.08 / watt peak. According to the US EIA, the utility solar cost per watt for ‘23 was \$1.16. This means NXT’s tracker constitutes ~6% of the total cost, while increasing efficiency by 20+%. This, alongside technological superiority above comps, gives NXT leeway to price higher by 10-15% while remaining EBIT-accretive. Management has hinted toward this as well, specifying their “pricing discipline and stable ASP despite fluctuating costs, while lowering LCOE” in the Q3 call in Feb ’24.

The market also misunderstands this aspect, fearing that pricing power vanishes as the IRA’s 45X tax credits come into effect. In fact, NXT structurally doesn’t truly depend on tax credits for margins. With tax credits, gross margins have jumped to 35%, but even ex-credits, GMs are at 26%, showing that NXT’s model is structurally high-margin. Array, in comparison, is significantly affected by the status of these credits, and faces a material risk if they are repealed, and this is evident in the stock being down 20% the day of Trump’s presidency announcement.

Ease-of-installation:

This is one of the most important, underrated, and misunderstood aspects of the solar tracker value chain that I believe NXT’s share price doesn’t ascribe enough value to. Ease of installation itself indirectly impacts all the factors we mentioned above – quality, reliability, and pricing.

First up – quality. Nextracker follows an extremely thorough process when producing trackers for any client or specific project.

- NXT designs products that are specific to the terrain and exact height of the land or area where the panels and trackers are to be erected.
- NXT’s engineers will typically survey the land where the panels are to be installed in detail, and make assessments regarding the appropriate orientation of the panels as well as the most optimal combination of trackers to use in the project.
- Then, it will design the trackers with necessary adjustments on a case-by-case basis. For example, if the height is uneven, NXT will adjust the height of the steel pile and pole at the supplier’s manufacturing facility itself and then deliver it to the EPC.
- This ensures the right fit at the site, which makes EPCs and developers extremely satisfied.

This reduction in cut-and-fill quantity and labor costs that happens as a result significantly reduces overall capex of the project, resulting in an indirect reduction of overall costs, and making Nextracker the cheaper product overall. More than just the monetary cost, the amount of days saved due to easier installation means a much higher saving.

Further, Nextracker's Horizon and Horizon XTR tracker modules are universally agreed to be the most flexible and adaptable trackers across the industry. While most trackers are double-row or multi-row, which means there must be an inflexible rod joining them in between, the Horizon trackers have no such limitation due to their personal-motor architecture. This means that these trackers can be erected in any terrain. In our conversations with EPCs, we realized that the Horizon XTR has a tolerance of +/- 100mm, which is apparently huge enough for any sharp undulation in the terrain.

Further, NXT's recent acquisition of Ojjo, a solar foundations business, for \$119mm in June '24 further enhances its proposition as a complete suite of tracker products with installations and foundations included as well, making the process streamlined and easy for EPCs.

Why is this so important? That's because our conversations with NXT's management have told us that most (>80%) of new greenfield utility solar land banks in North America have rugged, undulating terrain that would require trackers like Horizon. This is an especially new phenomenon in 2024 due to the rapid acceleration of utility solar over the last 3 years. Older utility solar projects and new ones who've already placed tracker orders through 2026 have taken up traditional land banks, and thus new projects would have to be built on somewhat undulating terrain. Further, many times the project needs to be built near the institution it serves, like a data center, and thus it would have to be built in whatever terrain is on offer there – these further cement the case for why NXT's trackers are the most relevant.

Broadly, NXT offers the best product technologically, with the best reliability, and ease-of-installation, as well as extremely competitive pricing either lower or in-line with comps, while still managing to achieve higher margins without the tax credits. For most EPCs, the total cost of ownership of NXT's trackers over 20-25 years is much lower than it would be with Array or other comps. Although the initial cost may be slightly higher, the other considerations like reliability and quality make it a much more attractive value proposition.

2. **Nextracker's asset-light supply chain generates high ROIC and positions it to scale much faster than comps, thus gaining market share, even if new Presidential policies increase tariffs on solar panels:**

There are 2 parts to this argument; first off, a major investor concern has been the implementation of tariffs on Chinese solar panels by President Trump, as well as the repeal of 45X tax credits, which would directly impact gross margins. Given the risk of repeal of 45X tax credits, we have modelled out all assumptions without assuming any future tax credits from these policies.

With regards to implementation of tariffs, we believe the market fundamentally doesn't realize that an increase in effective panel prices means tracker demand will only accelerate. Currently, many projects make the trade-off between an additional panel or fixing a tracker on an existing panel, and choose the new panel due to the dirt-cheap pricing on them from Chinese manufacturers. However, this trade-off becomes more favorable toward trackers if tariffs are implemented. Thus, it is actually a net positive than a negative, as market perceives it to be. Fundamentally, after following the movement of stocks within the solar industry, we've realized that most of them move together directionally, in similar magnitudes, even if they're disproportionately affected by whatever news is driving the move. Thus, we believe a similar case is unfolding with Nextracker, and investors will only truly realize the value as market share accelerates alongside its supply chain – here's why.

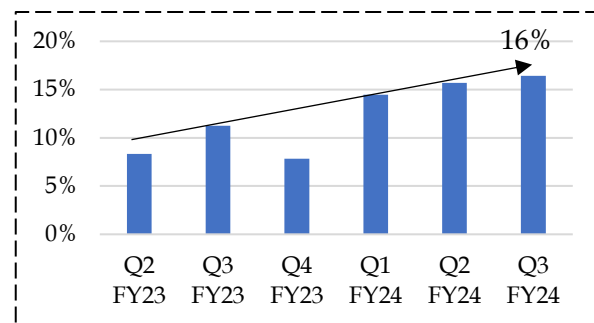
What's so unique about Nextracker's business model?

- NXT employs a **"capex-light"** manufacturing model, in which most components, including steel parts, are produced by contract manufacturers primarily steel producers like US Steel, JM Steel, and Unimacts – this is especially advantageous since 40% of a tracker's parts are steel-based.
- These suppliers establish dedicated NXT production lines; **essentially, NXT is getting all the advantages of a factory without the capex or maintenance.**
- This approach of outsourcing allows NXT to ship ~50 GW annually with ~5mm capex. NXT also manages a pretty massive supply chain: 90 suppliers in 20 countries across five continents.
- This is considerably different from the closest competitor, Array, which owns its manufacturing facilities.
- Not owning and operating the manufacturing facilities has many benefits:

- Most important is the capital-light approach, thus this massively increases ROIC for NXT
- Reduces risks from fluctuations in steel prices and labor costs, as NXT's supplier typically handles this aspect and will make deliveries based on a fixed contract for the year
- NXT is increasingly improving the costing it receives on contracts with suppliers as it works with these suppliers to build NXT-dedicated manufacturing lines, which would obviously reduce costs for NXT since it has greater manufacturing efficiency, and also simply as the scale of supply grows
- These suppliers are chosen through an extensive due diligence process lasting 6-8 months, ensuring reliability and quality that matches NXT's standards.

This approach has evidently succeeded as shown by how NXT's ROIC has grown, from 8% in FY23 to 16% in FY24.

Why is this so important going forward? As we explained previously, the structural reason for Array not losing significant market share despite a weaker, less reliable product, worse customer service and expensive business model, has been NXT's supply constraints. We believe NXT's implementation of the scale benefits of this model over the last fiscal year (capacity growing 25% from 40GW to 50GW) is truly coming into effect now, thus revealing the runway to grow supply extremely fast – this is a major client concern in the industry, and clients themselves have told us that they have diversified their order books from NXT due to risks of delay due to supply constraints.



NXT ROIC, FY23-FY24

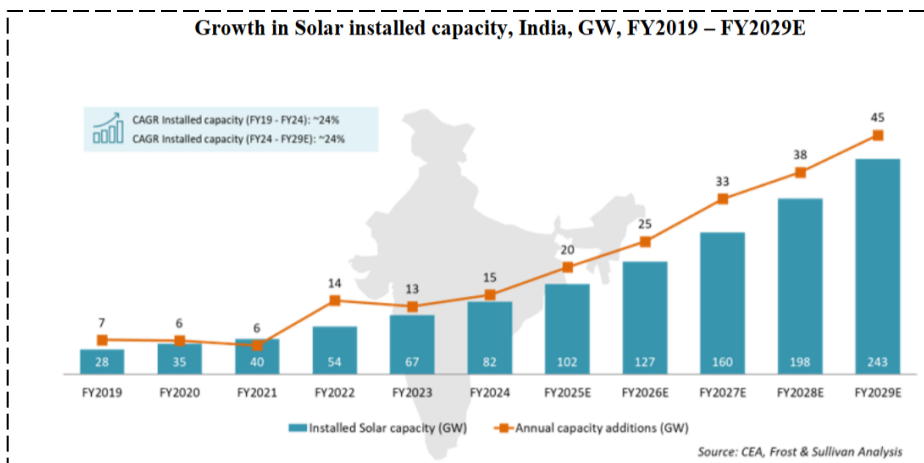
We believe the market hasn't realized this yet due to the heavy focus on potential revenue and margin disruption due to government policies given the election focus – and we believe the market will gradually realize this as capacity grows faster, especially with the induction of international supply capacity and diversification of supply chains beyond the US.

3. Nextracker's growth in international markets has been completely overlooked by the market & Street; through the use of alternative data, we believe there is high double digits rev growth potential (>30%):

NXT currently derives ~34% of revenues from international markets. In FY24, this was 31.5%. Long-term, management has guided for 33% from international markets – however, after conversations with Indian customers and Nextracker's management, we've realized even management has been surprised by the resilience and growth of international markets, specifically India.

Nextracker's journey in India is particularly interesting. NXT entered India in 2019, but generated no real revenues until a 6GW contract with Sterling Wilson Solar, an Indian EPC, signed in FY23. Fast forward to today, NXT has a 300-person team, a newly-established Center of Excellence in Hyderabad, India, and is even exporting India-made trackers to Saudi Arabia and Australia, besides selling 100% India-made trackers to Indian developers. We believe this particularly has potential to grow at ~25% annually, and we sourced alternative data from an Indian company to confirm this.

We recently found a pre-IPO filing of an Indian supplier, PME Solar, that only supplies to NXT, and filed for an IPO in Sept '24. Using their numbers as a rough proxy for NXT's India growth, we've realized NXT has 2x'd India revenues YoY over FY23-24, and is growing at HDD (>50%) in India, with Saudi Arabia's projected utility solar CAGR at 68% through FY28. India's solar capacity is expected to grow to 243GW by FY28, vs 82GW today (of which only 6GW has trackers). Thus,



Indian Solar Market Growth, FY19-FY29E

India presents an opportunity to not only accumulate share in brownfield, but also gain a first-mover advantage in an industry headed toward competition solely on greenfield projects.

We believe this is particularly important and has been overlooked by the market due to the lack of popular surveys about tracker penetration and utility solar projects internationally beyond the USA. We discovered most of this information using our alternative data and conversing with the Indian client, Sterling Wilson Solar. More importantly, we believe the market isn't understanding the supply opportunity India presents as well – Indian manufacturing hubs have the lowest labor costs and steel costs (which combined are >50% of tracker production COGS), while also having major free-trade provisions and being de-risked from China-like tariffs while retaining the economics of cheap manufacturing.

More importantly, we perceive India to be NXT's most defensible supply hub in the next 10 years. India's Domestic Content Requirement policy stipulates that government-funded solar projects must use >55% Made-in-India parts FY26 onward. This is virtually impossible to do for new entrants because NXT has been building a team, client and supplier relationships, and a supply base since 2019, and has a strong foothold with >90% market share of the Indian tracker market. We believe this is a key point of differentiation most investors miss – Tegus calls have mentioned investor concerns about revenue stability and visibility once the US market slows down, but have missed out on international growth due to the lack of direct information and surveys. Thus, India's development as a supply hub will lead to a centralized supply opportunity for Australia, the Middle East, and East Asia, as well as Europe and US in extreme cases, which is now easy to do since NXT signs yearly fixed freight contracts, thus removing exposure to freight price volatility.

Management:

NXT's management is extremely competent, incentivized, and has always been founder-led. Even after Flex's acquisition, the founders continued to manage NXT and played a key role in its separation from the parent company in 2023.

- Dan Shugar (Co-founder, CEO) – A veteran of solar, he's been CEO since 2013, and under him revenues have compounded 30% annually post-COVID. He's served as the CEO of Solaria and SunPower in the past, and is an extremely good capital allocator and cost-cutter. He's done especially well in negotiating better supplier contracts, as gross margins have expanded under his tenure, and he's successfully seen the expansion into international markets as well. His net worth is primarily tied up as stake in the company, and has incentive-based compensation, thus is incentivized.
- David Bennett (CFO) – CFO since June '21, previously accounting officer at Flex for ~15 years
- Marco Miller (Co-founder, COO) – Another great cost-optimizer, major reason for the growth runway of NXT, focused on fixing operational issues that were suppressing margins and improved supplier relationships. He is incentivized with compensation and stock as well.
- Alex Au (Co-founder, CTO) – The brains of the tech behind the company, he's led innovation for 20 years, especially well-versed in PV, across residential solar to utility solar
- Marco Garcia (Co-founder, CCO) – Manages customer relationships with EPCs and developers, delivered 60 GW of projects at NXT. He is incentivized with equity as well.

Financials and KPIs:

Nextracker's brilliant financial performance with 30%+ YoY revenue growth and EBIT margin expansion to ~20% showcases the strength of the product and resilient demand by utility solar players despite investor concerns of slowdowns. The most important metrics here are the book-to-bill ratio and backlog. Book-to-bill essentially is the ratio of new tracker bookings to trackers supplied in the quarter. This has been >1 for each of the last 7 quarters, as revenue backlog has grown from \$2.8bn to \$4.5bn in just one year. The current revenue backlog is expected to be cleared in 9 quarters, thus offering solid visibility and stability on revenues even 2 years out. With a solid net-cash balance sheet and just \$150m in debt, DIO decreasing and DPO increasing, we believe all key metrics relevant to growth and margin expansion are improving. Even recently released Q2 FY25 results had a 59% EPS beat vs consensus numbers, primarily

driven by unexpected international growth and domestic resilience, only increasing our belief that the market misunderstands this business.

Risks and Mitigants:

1. **Utility solar slowdown in the US:**
 - a. While this is a potential risk, we have conservatively modelled out growth rates of 14-15%, much below the 28% expected CAGR by the government and other market players, still arriving at a significant margin of safety; thus, we believe we are protected on the downside.
2. **Repeal of IRA 45X tax credits:**
 - a. While this is a very real risk given the Trump regime's vocal opposition to the IRA, we have modelled out margins by assuming 0 tax credits, and still have a large margin of safety; thus, we are protected.
3. **Pay-if-paid clause in EPC contracts:**
 - a. Certain contracts signed with EPCs have a pay-if-paid clause, which means the EPC is not legally required to pay NXT until the owner has paid the EPC, that is 'if' they do. However, this is a minute risk as payments are generally completed in phases of project completion, and this clause is rarely exercised, and present in a very limited number of agreements.

Valuation:

Despite the recent realization of FY26 and FY27 North America growth, Nextracker presents an extremely attractive opportunity to buy a solid compounder growing EBIT at 25% annually, at just 7.4x FY27 EBIT. It has historically traded around 35x EV/LTM EBIT, and a ~20x P/E multiple, while Array, despite being a structurally weaker business, traded at 20x EV/EBIT and ~9x P/E. We believe these premiums to Array are completely justified considering Array's low-ROIC structure and lower quality product. More intrinsically, our financial model results in a 58% margin of safety in a base case with below-industry growth derived from pipeline projects, with a 94% return in a bull case scenario driven by new project wins. Despite heavy margin dilution and slowing revenue growth already baked in post 45X tax credits going away, Nextracker presents a serious upside opportunity.

Revenue Build											
All USD (\$m)	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY 2025E	FY 2026E	FY 2027E	FY 2028E	FY 2029E
Domestic Revenue											
Price per watt peak (\$)	0.115	0.116	0.104	0.105	0.112	0.102	0.102	0.102	0.1	0.1	0.098
ASP per megawatt	0.115	0.116	0.104	0.105	0.112	0.102	0.102	0.102	0.1	0.1	0.098
Megawatts delivered	4,500	7,875	8,400	8,550	10,850	16,380	20,803	27,251	32,974	39,239	45,910
% growth		75.0%	6.7%	1.8%	26.9%	51.0%	27.0%	31.0%	21.0%	19.0%	17.0%
Total Revenue	518	914	874	898	1,215	1,671	2,122	2,780	3,297	3,924	4,499
% growth		76.5%	-4.4%	2.8%	35.4%	37.5%	27.0%	31.0%	18.6%	19.0%	14.7%
% of total	77.8%	77.8%	73.4%	61.4%	63.5%	67.0%	66.8%	67.9%	65.6%	63.3%	60.9%
Rest of World Revenue											
Price per watt peak (\$)	0.092	0.093	0.083	0.084	0.101	0.082	0.087	0.087	0.085	0.085	0.083
ASP per megawatt	0.092	0.0928	0.0832	0.084	0.101	0.082	0.087	0.087	0.085	0.085	0.083
Megawatts delivered	1,500	2,625	3,600	6,450	6,650	9,620	11,640	14,434	19,486	25,721	33,437
% growth		75.0%	37.1%	79.2%	3.1%	44.7%	21.0%	24.0%	35.0%	32.0%	30.0%
Total Revenue	138	244	300	542	670	785	1,009	1,251	1,656	2,186	2,785
% growth		76.5%	23.0%	80.9%	23.7%	17.1%	28.6%	24.0%	32.4%	32.0%	27.4%
% of total	20.7%	20.7%	25.1%	37.1%	35.0%	31.5%	31.8%	30.6%	32.9%	35.3%	37.7%
TrueCapture Revenue	10.0	17.6	17.9	21.9	28.7	37.4	47.0	60.5	74.3	91.7	109.3
% of total	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%
Total Revenue	665	1,175	1,191	1,461	1,914	2,493	3,178	4,092	5,028	6,202	7,394
% growth		76.5%	1.4%	22.7%	31.0%	30.2%	27.5%	28.7%	22.9%	23.3%	19.2%
Total Megawatts delivered	6,000	10,500	12,000	15,000	17,500	26,000	32,443	41,685	52,460	64,960	79,347
Blended ASP	0.109	0.110	0.098	0.096	0.108	0.094	0.097	0.097	0.094	0.094	0.092

US Revenue Growth Drivers

Factors	FY 2025E	FY 2026E	FY 2027E	FY 2028E	FY 2029E
US Tracker Penetration	90%	91%	92%	93%	94%
Utility Solar Industry CAGR	28%	28%	22%	18%	15%
NXT Market Share	65%	65%	65%	65%	65%
Demand for NXT trackers	16.4%	16.6%	13.2%	10.9%	9.2%
Conservatively Assumed Growth	27%	31%	21%	19%	17%

Other Assumptions

Price per watt peak (\$) 0.102

Watt peak per MW 1,000,000

MW = Megawatt

Assume 15-20% lower pricing ROW vs US

Hardcoded Data from 10K / 10Q

Assumptions based on attached comments

Calculated Metrics

Income Statement

All USD (\$M)	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY 2025E	FY 2026E	FY 2027E	FY 2028E	FY 2029E
Revenues	665.5	1,174.7	1,191.0	1,461.5	1,914.2	2,493.2	3,178.0	4,091.5	5,028.0	6,201.9	7,393.8
% growth		76.5%	1.4%	22.7%	31.0%	30.2%	27.5%	28.7%	22.9%	23.3%	19.2%
Expenses											
Cost of Goods Sold	(604.2)	(958.4)	(963.6)	(1,310.6)	(1,615.2)	(1,686.8)	(2,065.7)	(2,782.2)	(3,419.0)	(4,713.4)	(5,619.3)
% of revenue	90.8%	81.6%	80.9%	89.7%	84.4%	67.7%	65.0%	68.0%	68.0%	76.0%	76.0%
Gross Profit	61.3	216.3	227.4	150.9	299.1	806.4	1,112.3	1,309.3	1,609.0	1,488.5	1,774.5
% margin	9.2%	18.4%	19.1%	10.3%	15.6%	32.3%	35.0%	32.0%	32.0%	24.0%	24.0%
Operating Expenses											
SG&A Costs	(46.8)	(55.4)	(60.4)	(66.9)	(96.9)	(183.6)	(158.9)	(204.6)	(251.4)	(310.1)	(369.7)
% of revenue	7.0%	4.7%	5.1%	4.6%	5.1%	7.4%	5.0%	5.0%	5.0%	5.0%	5.0%
R&D Expenses	(8.6)	(8.6)	(13.0)	(14.2)	(21.6)	(42.4)	(31.8)	(40.9)	(50.3)	(62.0)	(73.9)
% of revenue	1.29%	0.74%	1.09%	0.97%	1.13%	1.70%	1.0%	1.0%	1.0%	1.0%	1.0%
D&A	(18.6)	(17.9)	(16.8)	(11.1)	(4.6)	(4.4)	(6.4)	(8.2)	(10.1)	(12.4)	(14.8)
% of revenue	2.79%	1.53%	1.41%	0.76%	0.24%	0.17%	0.2%	0.2%	0.2%	0.2%	0.2%
EBIT	(12.7)	134.4	137.1	58.6	176.0	576.1	915.3	1,055.6	1,297.2	1,103.9	1,316.1
% margin	-1.9%	11.4%	11.5%	4.0%	9.2%	23.1%	28.8%	25.8%	25.8%	17.8%	17.8%

	Historicals						Projected				
Net Working Capital Build	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029
Current Assets											
Operating Cash	13.3	23.5	23.8	29.2	38.3	49.9	63.6	81.8	100.6	124.0	147.9
% of revenue	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%
Inventories	25.4	61.2	84.5	172.2	138.1	201.7	198.1	266.8	327.9	452.0	538.8
DIO	26.2	27.7	48.6	43.2	38.4	35	35	35	35	35	35
Other Current Assets	5.2	15.9	40.0	52.1	35.1	312.6	47.7	61.4	75.4	93.0	110.9
% of revenue	0.8%	1.3%	3.4%	3.6%	1.8%	12.5%	1.5%	1.5%	1.5%	1.5%	1.5%
Current Liabilities											
Accounts Payable	105.5	175.5	231.5	266.6	211.4	456.6	396.2	533.6	655.7	903.9	1,077.7
DPO	84.9	77.5	94.3	66.6	75.5	70.0	70.0	70.0	70.0	70.0	70.0
Accrued Expenses	24.9	42.0	35.6	26.2	59.8	82.4	95.3	122.7	150.8	186.1	221.8
% of revenue	3.7%	3.6%	3.0%	1.8%	3.1%	3.3%	3.0%	3.0%	3.0%	3.0%	3.0%
Deferred Revenue	14.4	85.5	77.4	77.9	176.5	225.5	317.8	409.2	502.8	620.2	739.4
% of revenue	2.2%	7.3%	6.5%	5.3%	9.2%	9.0%	10.0%	10.0%	10.0%	10.0%	10.0%
Other Current Liabilities	7.0	18.4	18.1	63.4	47.6	126.9	63.6	81.8	100.6	124.0	147.9
% of revenue	1.0%	1.6%	1.5%	4.3%	2.5%	5.1%	2.0%	2.0%	2.0%	2.0%	2.0%
NWC	(107.8)	(220.9)	(214.3)	(180.5)	(283.8)	(327.3)	(563.6)	(737.3)	(906.1)	(1,165.2)	(1,389.1)
Change in NWC		(113.1)	6.6	33.7	(103.2)	(43.5)	(236.3)	(173.8)	(168.8)	(259.1)	(223.9)

	Historicals						Projected				
PPE Build	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029
Beginning PPE	5.3	3.9	5.0	7.4	7.3	5.8	5.8	5.8	5.8	5.8	5.8
(-) D&A	18.6	17.9	16.8	11.1	4.6	4.4	6.4	8.2	10.1	12.4	14.8
% of beg. PPE	-347.1%	-455.9%	-334.0%	-150.2%	-63.8%	17.5%	17.2%	17.0%	17.0%	17.0%	17.0%
(+) Capex	2.5	1.7	2.5	5.9	3.2	4.4	6.4	8.2	10.1	12.4	14.8
% of beg. PPE	47.2%	42.0%	48.9%	79.7%	43.9%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%
Ending PPE	(10.7)	(12.4)	(9.3)	2.2	5.8	5.8	5.8	5.8	5.8	5.8	5.8

FCF Build	2025	2026	2027	2028	2029
EBIT	915	1,056	1,297	1,104	1,316
(-) Taxes	183	211	259	221	263
NOPAT	732	844	1,038	883	1,053
(+) D&A	6	8	10	12	15
(-) NWC	(236)	(174)	(169)	(259)	(224)
(-) Capex	6	8	10	12	15
UFCF	969	1,018	1,207	1,142	1,277
DFCF	945	924	995	857	871
Period	0.26	1.02	2.02	3.02	4.02

Capitalization Table	
Share Price	72.20
DSO	143.6
Implied Equity Value (\$m)	10,367.9
(+) Debt	0
(-) Cash	743
Enterprise Value (\$m)	9,624.9

Assumptions	
Effective Tax Rate	20%
WACC	10.00%
Perp Growth Rate	2%
CAPM Build	
Risk free rate	4.26%
Equity Risk Premium	4.60%
Beta	1.1
COE	9.32%

WACC Build	
% of equity	100.0%
Cost of equity	9.32%
% of debt	0.0%
Cost of debt	7%
After Tax cost of debt	5.5%
WACC	9.32%
Utilized WACC	10.00%

Perpetuity Growth Method	
Sum of discounted FCF	4,591.82
Terminal Value	16,279.29
Discounted Terminal Value	11,100.11
Implied Enterprise Value	15,691.93
(-) Debt	0.0
(+) Cash	743
Implied Equity Value	16,434.93
DSO	143.6
Implied Share Price	114.45
Current Share Price	72.20
Margin of Safety	58.5%
IRR	10%

Appendix

Upside Case Valuation

Revenue Build											
All USD (\$m)	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY 2025E	FY 2026E	FY 2027E	FY 2028E	FY 2029E
Domestic Revenue											
Price per watt peak (\$)	0.115	0.116	0.104	0.105	0.112	0.102	0.102	0.102	0.1	0.1	0.098
ASP per megawatt	0.115	0.116	0.104	0.105	0.112	0.102	0.102	0.102	0.1	0.1	0.098
Megawatts delivered	4,500	7,875	8,400	8,550	10,850	16,380	21,622	28,757	35,371	42,799	50,930
% growth		75.0%	6.7%	1.8%	26.9%	51.0%	32.0%	33.0%	23.0%	21.0%	19.0%
Total Revenue	518	914	874	898	1,215	1,671	2,205	2,933	3,537	4,280	4,991
% growth		76.5%	-4.4%	2.8%	35.4%	37.5%	32.0%	33.0%	20.6%	21.0%	16.6%
% of total	77.8%	77.8%	73.4%	61.4%	63.5%	67.0%	67.6%	69.1%	67.1%	65.2%	63.2%
Rest of World Revenue											
Price per watt peak (\$)	0.092	0.093	0.083	0.084	0.101	0.082	0.087	0.087	0.085	0.085	0.083
ASP per megawatt	0.092	0.0928	0.0832	0.084	0.101	0.082	0.087	0.087	0.085	0.085	0.083
Megawatts delivered	1,500	2,625	3,600	6,450	6,650	9,620	11,640	14,434	19,486	25,721	33,437
% growth		75.0%	37.1%	79.2%	3.1%	44.7%	21.0%	24.0%	35.0%	32.0%	30.0%
Total Revenue	138	244	300	542	670	785	1,009	1,251	1,656	2,186	2,785
% growth		76.5%	23.0%	80.9%	23.7%	17.1%	28.6%	24.0%	32.4%	32.0%	27.4%
% of total	20.7%	20.7%	25.1%	37.1%	35.0%	31.5%	30.9%	29.5%	31.4%	33.3%	35.3%
TrueCapture Revenue	10.0	17.6	17.9	21.9	28.7	37.4	48.2	62.8	77.9	97.0	116.6
% of total	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%
Total Revenue	665	1,175	1,191	1,461	1,914	2,493	3,263	4,247	5,271	6,563	7,893
% growth		76.5%	1.4%	22.7%	31.0%	30.2%	30.9%	30.2%	24.1%	24.5%	20.3%
Total Megawatts delivered	6,000	10,500	12,000	15,000	17,500	26,000	33,262	43,191	54,856	68,520	84,368
Blended ASP	0.109	0.110	0.098	0.096	0.108	0.094	0.097	0.097	0.095	0.094	0.092

US Revenue Growth Drivers

Factors	FY 2025E	FY 2026E	FY 2027E	FY 2028E	FY 2029E
US Tracker Penetration	90%	91%	92%	93%	94%
Utility Solar Industry CAGR	28%	28%	22%	18%	15%
NXT Market Share	65%	65%	65%	65%	65%
Demand for NXT trackers	16.4%	16.6%	13.2%	10.9%	9.2%
Conservatively Assumed Growth	32%	33%	23%	21%	19%

Other Assumptions

Price per watt peak (\$)	0.102
Watt peak per MW	1,000,000
MW = Megawatt	
Assume 15-20% lower pricing ROW vs US	
Hardcoded Data from 10K / 10Q	
Assumptions based on attached comments	
Calculated Metrics	

Income Statement

All USD (\$M)	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY 2025E	FY 2026E	FY 2027E	FY 2028E	FY 2029E
Revenues	665.5	1,174.7	1,191.0	1,461.5	1,914.2	2,493.2	3,262.8	4,247.4	5,271.3	6,563.2	7,893.2
% growth		76.5%	1.4%	22.7%	31.0%	30.2%	30.9%	30.2%	24.1%	24.5%	20.3%
Expenses											
Cost of Goods Sold	(604.2)	(958.4)	(963.6)	(1,310.6)	(1,615.2)	(1,686.8)	(2,023.0)	(2,888.2)	(3,584.5)	(4,725.5)	(5,683.1)
% of revenue	90.8%	81.6%	80.9%	89.7%	84.4%	67.7%	62.0%	68.0%	68.0%	72.0%	72.0%
Gross Profit	61.3	216.3	227.4	150.9	299.1	806.4	1,239.9	1,359.2	1,686.8	1,837.7	2,210.1
% margin	9.2%	18.4%	19.1%	10.3%	15.6%	32.3%	38.0%	32.0%	32.0%	28.0%	28.0%
Operating Expenses											
SG&A Costs	(46.8)	(55.4)	(60.4)	(66.9)	(96.9)	(183.6)	(163.1)	(212.4)	(263.6)	(328.2)	(394.7)
% of revenue	7.0%	4.7%	5.1%	4.6%	5.1%	7.4%	5.0%	5.0%	5.0%	5.0%	5.0%
R&D Expenses	(8.6)	(8.6)	(13.0)	(14.2)	(21.6)	(42.4)	(32.6)	(42.5)	(52.7)	(65.6)	(78.9)
% of revenue	1.29%	0.74%	1.09%	0.97%	1.13%	1.70%	1.0%	1.0%	1.0%	1.0%	1.0%
D&A	(18.6)	(17.9)	(16.8)	(11.1)	(4.6)	(4.4)	(6.5)	(8.5)	(10.5)	(13.1)	(15.8)
% of revenue	2.79%	1.53%	1.41%	0.76%	0.24%	0.17%	0.2%	0.2%	0.2%	0.2%	0.2%
EBIT	(12.7)	134.4	137.1	58.6	176.0	576.1	1,037.6	1,095.8	1,360.0	1,430.8	1,720.7
% margin	-1.9%	11.4%	11.5%	4.0%	9.2%	23.1%	31.8%	25.8%	25.8%	21.8%	21.8%

Net Working Capital Build	Historicals						Projected				
	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029
Current Assets											
Operating Cash	13.3	23.5	23.8	29.2	38.3	49.9	65.3	84.9	105.4	131.3	157.9
% of revenue	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%
Inventories	25.4	61.2	84.5	172.2	138.1	201.7	194.0	277.0	343.7	453.1	545.0
DIO		26.2	27.7	48.6	43.2	38.4	35	35	35	35	35
Other Current Assets	5.2	15.9	40.0	52.1	35.1	312.6	48.9	63.7	79.1	98.4	118.4
% of revenue	0.8%	1.3%	3.4%	3.6%	1.8%	12.5%	1.5%	1.5%	1.5%	1.5%	1.5%
Current Liabilities											
Accounts Payable	105.5	175.5	231.5	266.6	211.4	456.6	388.0	553.9	687.4	906.3	1,089.9
DPO		84.9	77.5	94.3	66.6	75.5	70.0	70.0	70.0	70.0	70.0
Accrued Expenses	24.9	42.0	35.6	26.2	59.8	82.4	97.9	127.4	158.1	196.9	236.8
% of revenue	3.7%	3.6%	3.0%	1.8%	3.1%	3.3%	3.0%	3.0%	3.0%	3.0%	3.0%
Deferred Revenue	14.4	85.5	77.4	77.9	176.5	225.5	326.3	424.7	527.1	656.3	789.3
% of revenue	2.2%	7.3%	6.5%	5.3%	9.2%	9.0%	10.0%	10.0%	10.0%	10.0%	10.0%
Other Current Liabilities	7.0	18.4	18.1	63.4	47.6	126.9	65.3	84.9	105.4	131.3	157.9
% of revenue	1.0%	1.6%	1.5%	4.3%	2.5%	5.1%	2.0%	2.0%	2.0%	2.0%	2.0%
NWC	(107.8)	(220.9)	(214.3)	(180.5)	(283.8)	(327.3)	(569.2)	(765.4)	(949.9)	(1,207.9)	(1,452.7)
Change in NWC		(113.1)	6.6	33.7	(103.2)	(43.5)	(242.0)	(196.2)	(184.5)	(258.0)	(244.8)

PPE Build	Historicals						Projected				
	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029
Beginning PPE	5.3	3.9	5.0	7.4	7.3	5.8	5.8	5.8	5.8	5.8	5.8
(-) D&A	18.6	17.9	16.8	11.1	4.6	4.4	6.5	8.5	10.5	13.1	15.8
% of beg. PPE	-347.1%	-455.9%	-334.0%	-150.2%	-63.8%	17.5%	17.2%	17.0%	17.0%	17.0%	17.0%
(+) Capex	2.5	1.7	2.5	5.9	3.2	4.4	6.5	8.5	10.5	13.1	15.8
% of beg. PPE	47.2%	42.0%	48.9%	79.7%	43.9%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%
Ending PPE	(10.7)	(12.4)	(9.3)	2.2	5.8	5.8	5.8	5.8	5.8	5.8	5.8

FCF Build	2025	2026	2027	2028	2029
EBIT	1,038	1,096	1,360	1,431	1,721
(-) Taxes	208	219	272	286	344
NOPAT	830	877	1,088	1,145	1,377
(+) D&A	7	8	11	13	16
(-) NWC	(242)	(196)	(185)	(258)	(245)
(-) Capex	7	8	11	13	16
UFCF	1,072	1,073	1,272	1,403	1,621
DFCF	1,046	974	1,050	1,052	1,106
Period	0.26	1.02	2.02	3.02	4.02

Capitalization Table	
Share Price	72.20
DSO	143.6
Implied Equity Value (\$m)	10,367.9
(+) Debt	0
(-) Cash	743
Enterprise Value (\$m)	9,624.9

Perpetuity Growth Method	
Sum of discounted FCF	5,226.95
Terminal Value	20,672.15
Discounted Terminal Value	14,095.41
Implied Enterprise Value	19,322.36
(-) Debt	0.0
(+) Cash	743
Implied Equity Value	20,065.36
DSO	143.6
Implied Share Price	139.73
Current Share Price	72.20
Margin of Safety	93.5%
IRR	14%

Assumptions	
Effective Tax Rate	20%
WACC	10.00%
Perp Growth Rate	2%

CAPM Build	
Risk free rate	4.26%
Equity Risk Premium	4.60%
Beta	1.1
COE	9.32%

WACC Build	
% of equity	100.0%
Cost of equity	9.32%
% of debt	0.0%
Cost of debt	7%
After Tax cost of debt	5.5%
WACC	9.32%
Utilized WACC	10.00%

Key terms in solar:

- **LCOE** – levelized cost of electricity, metric to measure cost effectiveness of a particular solar generation tech, measured in \$/MWh (dollar per mega watt-hour)
- **EPC**: Engineering, procuring, and construction. Companies that provide the comprehensive package for solar set up

FLEX and NXT relationship:

- Flex supply chain expertise accelerated NXT penetration of global end markets, more optimized supply chain
- NXT participated in FLEX's cash pooling program, and essentially FLEX took a lot of cash as the parent,
 - From FY24 onwards, NXT discontinued this
 - Also discontinued the common debt load allocation, and a lot of other common metrics
- Self-powered controller (SPC) and network control unit (NCU), used in NXT trackers is predominantly manufactured by FLEX
 - Now NXT has a purchase order basis for pricing for these w/ FLEX
 - The manufacture process is highly complex, specialized, proprietary
 - Have recently added 2 suppliers who manufacture SPCs
 - But NCU is only there from FLEX

Notes from call with Head of Trackers, Sterling Wilson (S&W) Solar EPC, India:

Q) What is your view of Nextracker?

- US-based company, highest market share for trackers, Gamechange, Nextracker, European companies, PV hardware
- After-sale service of Nextracker is v good, ease of installation, generally there are 3 options each project, total cost of ownership for Nextracker is lower, over the next 25 years, although initial cost is higher
- Maintenance for nextracker is lower
- Have been working w nextracker for over 10 years
- Done 10GW w nextracker
- Quality product, no concerns post installation

Q) What is competition looking like in the space?

- Chinese trackers doing well in Middle-East
- Array or Gamechange can do lower cost projects
- In Australia, Chinese suppliers not available, there it's between NXT, ARRY, PVH
- ARRY – lot of quality issues in US and Australia projects
- PV hardware – Good quality trackers

Q) Can you give me some color on how the supply chain for many of these solar tracker companies looks like?

- NXT, ATI, Gamchange all have decent suppliers only
- For NXT, they have certain patented exclusive facilities, certain tech that they develop developed only by certain suppliers who will manufacture only NXT then
- Suppliers do due diligence, make good facilities, specific to NXT
- 4-5 top suppliers have very strong base, sharing facilities for all components of the tracker
- NXT has their own strong patented supply types, tie-ups
- Very strong supply chain, not typical contract manufacturing
- Only working w suppliers w/ big volume, reliability, quality, ethics
- NXT surveys suppliers diligently before contracting
 - If it selects, then long term contract, no short term ones

- Long term process of selecting supplier, not a month's turnaround kinda thing
- Product in general, it's good from all
- Sees market share constantly changing over the last 5 years
- Gamechange emerging as a good solar tracker
- PVH focused only on certain areas
- NXT, ATI are fixed in top 2, rest are churning around
- NXT doesn't have 2P trackers, 2-portrait, not single panel, 2 panels, so certain niches NXT is not in
 - Then must use gamechange, trina,

Q) How is the tracker industry looking like in India?

- In India, S&W has given nextracker a lot of market share
- They've done localization in India, 80% of Indian-sold trackers are made in India
- Everyone in India wants trackers, everyone's following everyone to get best tech, everyone copying everyone
 - Especially to the govt, superior tech seems cooler, publicity better
- No one used trackers in India before covid
- If land scarcity, manpower is exp, then use tracker, maximizes yield, 25% increase in efficiency

Q) Why did you choose Nextracker specifically?

- Never faced challenges on site
- Prudent tech, upgraded product always
- Require special tools for installation
- Other trackers require only fasteners, nut-bolts
- Nextracker uses riveting guns, more stamping parts, thus can't be loosened, unscrewed
 - This increases durability
 - Central part - slew gear – slew is at top, bow type arrangement, stock tube at lower level, actual slew at higher level
 - Thus torque required for motor to rotate is very negligible
 - Enables them to have lighter design, smaller setup, smaller battery
 - They even last longer, long life, consumes lower power, lower battery
- NXT designs products in certain way so that it has right fit at the site, other comps don't
- NXT Very easy for installation
- Huge presence across globe, first-mover
- Expanded portfolio across the globe vastly
- In India, have office in Hyderabad, 300+ ppl in Hyderabad, do projects across globe, designing, supplying from India
- Hardcore, concrete clench on product, technology, expanded very largely
- They have independent row tracker
 - Other trackers are multi-row or double-row, to reduce motors, connecting rod in between
 - Thus, there are limitations with these products, limitations on layouts
 - NXT doesn't have these limitations, can erect tracker in any terrain
 - If there is sharp undulation, XTR has tolerance of 100mm across lake, this is huge
 - Means you can erect tracker as per terrain
 - Cut and fill quantity gets reduced – bc NXT trackers fit in any terrain, don't need to do much physical work

Q) Do you work with other companies too?

- Yes, PVH and GameChange

- Strategic call, can't give one supplier all orders
- Have to distribute supply chain

Q) What does pricing look like for trackers in general?

- Module prices are dependent on:
 - Module watt peak
 - Wind speed
 - Corrosion class at site – if site is highly corrosive, must select good material, thick steel
 - Degree of rotation of tracker – how much can it track, 60-degree plus minus
 - If tracking angle changes to even 50, affects pricing, efficiency
 - Soil condition, ramming, if you have to go very below ground, have to select higher length
 - Layout is a major decider:
 - If square design, exterior tracker and interior tracker will be smaller
 - Exterior tracker means the tracker facing winds, front side
 - At corner, called edge tracker
 - Internal rows in tracker are called internal tracker
 - If % of exterior tracker or edge tracker are more than interior tracker
 - For exterior and edge tracker, they are typically 8-10% of total
 - If zig zag type layout, then more exterior trackers, edge trackers, then cost increases
- 540-watt peak to 640-watt peak modules, and other parameters varying in a particular range, prices are:
 - 6 cents to 10 cents per watt peak for SW
 - ATI is 0.5-1 cent higher than NXT, ATI targeting very specific segments
 - ATI targets developers directly, give them insight and pitch to them, how their tracker will be maintenance free, if developer buys the idea then they buy ATI only
 - GameChange and PVH 1 cent lower than NXT, in given conditions
 - All models of NXT are pretty much the same cost wise, just 4-5% premium for maybe XTR

Nextracker Management Call

1. Can you give me some color on Nextracker's India operations?

- Spun off from Solaria.
- Entered India in 2016 with a 600 kW project in Hyderabad (engineering back office → execution).
- Installed ~1 GW in India by 2016–17.
- Market slowed in 2018 as module prices dropped.
- Expanded into Egypt, Saudi Arabia, Jordan, Turkey.
- Now active in 14 countries across Asia and the Middle East.
- Post-COVID, India revived with bifacial modules and higher module prices.
- Execution split: ~50% India / ~50% other countries.
- ~9 GW cumulative executed across Asia + Middle East (incl. India).

- Significant backlog; India targeting 500 GW by 2025.
- Market share in India: 40–50%.
- Saudi Arabia: major market with large-scale projects.
- Dubai: Rashid Solar Park (5 GW total, 1 GW NXT). Storm caused ~20% competitor failures, NXT undamaged.

2. How much do Nextracker's trackers improve efficiency in practice?

- Generally 12–18% efficiency gains.
- With bifacial: 20–25% (e.g., Saudi).
- Example: 450 MW DC project in Saudi outperformed modeled efficiency.

3. How do Nextracker's contracts with manufacturers work?

- Manufacturing in ~30 countries.
- Tracker = 35–40 components, shipped and assembled on site.
- India capacity: ~10 GW.

4. How do steel costs affect tracker manufacturing?

- Steel = 40–50% of cost.
- Contracts reviewed quarterly.
- Orders placed immediately after bookings to lock prices.
- Risk passed to suppliers.

5. How does Nextracker view competition?

- Global project volumes rising, all players chasing share.
- NXT product superior but priced at a premium.
- Less competitive in lowest-cost bids.
- Expect volume growth; market share % to remain similar.

Speaker Background

- Based in Hyderabad.
- Director of Projects – Middle East & Asia.
- Manages from contract sign-off to commissioning: materials, logistics, execution, handover.

Historical financials:

Nexttracker Inc. (NXT)

Equity One Pager

Ticker: [NXT](#)

HQ: Fremont, CA

Date: [9/26/2025](#)

	Historical Free Cash Flow Profile						CAGR / Cuml.
	2019A	2020A	2021A	2022A	2023A	2024 LTM	'19A-24A
Net Revenues	\$661	\$1,171	\$1,196	\$1,458	\$1,902	\$2,282	22.9%
%growth	N/A	77.3%	2.1%	21.9%	30.5%	20.0%	
(-) COGS	604	958	964	1,311	1,615	1,719	19.0%
%growth	N/A	58.6%	0.5%	36.0%	23.2%	6.4%	
%margin	91.4%	81.8%	80.6%	89.9%	84.9%	75.3%	
Gross Profit	57	213	232	147	287	563	46.7%
%growth	N/A	276.6%	9.0%	(36.6%)	95.2%	96.1%	
%margin	8.6%	18.2%	19.4%	10.1%	15.1%	24.7%	
(-) SG&A + Other Opex	55	64	73	68	117	204	24.3%
%growth	N/A	15.6%	14.8%	(7.2%)	71.5%	74.7%	
%margin	8.4%	5.5%	6.1%	4.7%	6.1%	9.0%	
EBIT	1	149	159	79	170	359	159.8%
%growth	N/A	12,659.6%	6.5%	(50.3%)	115.6%	110.9%	
%margin	0.2%	12.7%	13.3%	5.4%	8.9%	15.7%	
(-) Interest, net	0	(0)	--	--	2	3	
(+) Other Non-Operating Inc (Exp)	(0)	(0)	(1)	(1)	2	11	
(-) Legal Settlements	-	-	-	(13)	(2)	(2)	
Income before taxes	1	149	158	65	169	365	179.4%
(-) Income Tax	2	31	34	14	48	64	
Net Income	(2)	118	124	51	121	301	N/A
%growth	N/A	-7571.6%	5.1%	-59.0%	138.2%	147.6%	
%margin	-0.2%	10.1%	10.4%	3.5%	6.4%	13.2%	
(+) D&A	3	3	2	3	3	4	
(-) Capex	(3)	(2)	(3)	(6)	(3)	(4)	
(+/-) NWC	30	(60)	(208)	(124)	(63)	275	
Free Cash Flow	(\$6.4)	(\$11.4)	\$187.6	(\$161.5)	\$100.9	\$267.7	N/A

Valuation Information

	Date	Price
Market price per share	4/15/2024	\$44.83
Premium/(Discount) to 52-week low	3/13/23	53%
Premium/(Discount) to 52-week high	4/15/24	-28%
Basic Shares Outstanding (mm)		136,540
Dilutive Securities		8,140.0
Diluted Shares Outstanding		144,680
Fully Diluted Equity Value (\$mm)		\$6,486
(+) Debt		144.8
(-) Cash and investments		367.8
Net Debt		(\$223.1)
TEV		\$6,262.9

Multiple Analysis

	Actual			Management		WS Projected	
	2021A	2022A	2023A	2024E	2025E	2024E	2025E
Adj. EBITDA	\$160.3	\$81.5	\$362.5	\$488.0	\$585.6	\$552.0	\$647.0
TEV Multiple			17.3x	12.8x	10.7x	11.3x	9.7x
Adj EBITDA - Mt. Cx.	\$162.8	\$87.4	\$366.9	\$483.0	\$580.6	\$547.0	\$642.0
TEV Multiple			17.1x	13.0x	10.8x	11.4x	9.8x
Yield			5.9%	7.7%	9.3%	8.7%	10.3%
FCF	\$187.6	(\$161.5)	\$267.7	\$299.9	\$359.8	\$470.0	\$368.0
TEV Multiple			23.4x	20.9x	17.4x	13.3x	17.0x
Yield			4.3%	4.8%	5.7%	7.5%	5.9%